i-Q Retail

# The board asked: what is our AI strategy?

What AI is, what we can realistically do, and the next 90 days.

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# A competitor moved. The board noticed.

**$2B**
annual revenue

**8,000**
employees

**200**
stores + web + app

**12M**
loyalty members

**0**
AI in production

## The catalyst

A national competitor launched an AI personal shopper that recommends outfits and personalizes product descriptions from each customer's history.

## The gap

No AI in production. Some teams use free public tools informally. Vendors pitch "AI-powered" tools, but nothing has been bought.

## The pressure

Industry press is covering the launch, and the board wants to know our strategy.

# Our answer: move now, narrowly, with evidence.

A focused, governed 90-day program, not a headline purchase.

1. **Catalyst**
   A competitor launches an AI personal shopper and the board asks for our strategy.
2. **Gap**
   No production AI, informal use of public tools, vendor talks only.
3. **Opportunity**
   12M loyalty members and 200 stores support personalization and efficiency.
4. **Foundations**
   Data, governance, platform and people set how fast we can go.
5. **90-day plan**
   Policy, baseline, four pilots, a scorecard and three gates.
6. **Board decision**
   Scale, adjust or stop, based on evidence at day 90.

# What AI is: software that predicts, creates or acts.

## Predictive AI

Proven

Learns from history to forecast what happens next.

In retail: Demand forecasts, returns prediction, next-best offer.

**Needs clean data.**

## Generative AI

Fast-moving

Produces text, images and answers from prompts and context.

In retail: Product descriptions, service replies, associate help.

**Needs human review.**

## Agentic AI

Early

Chains steps and uses tools to complete a task.

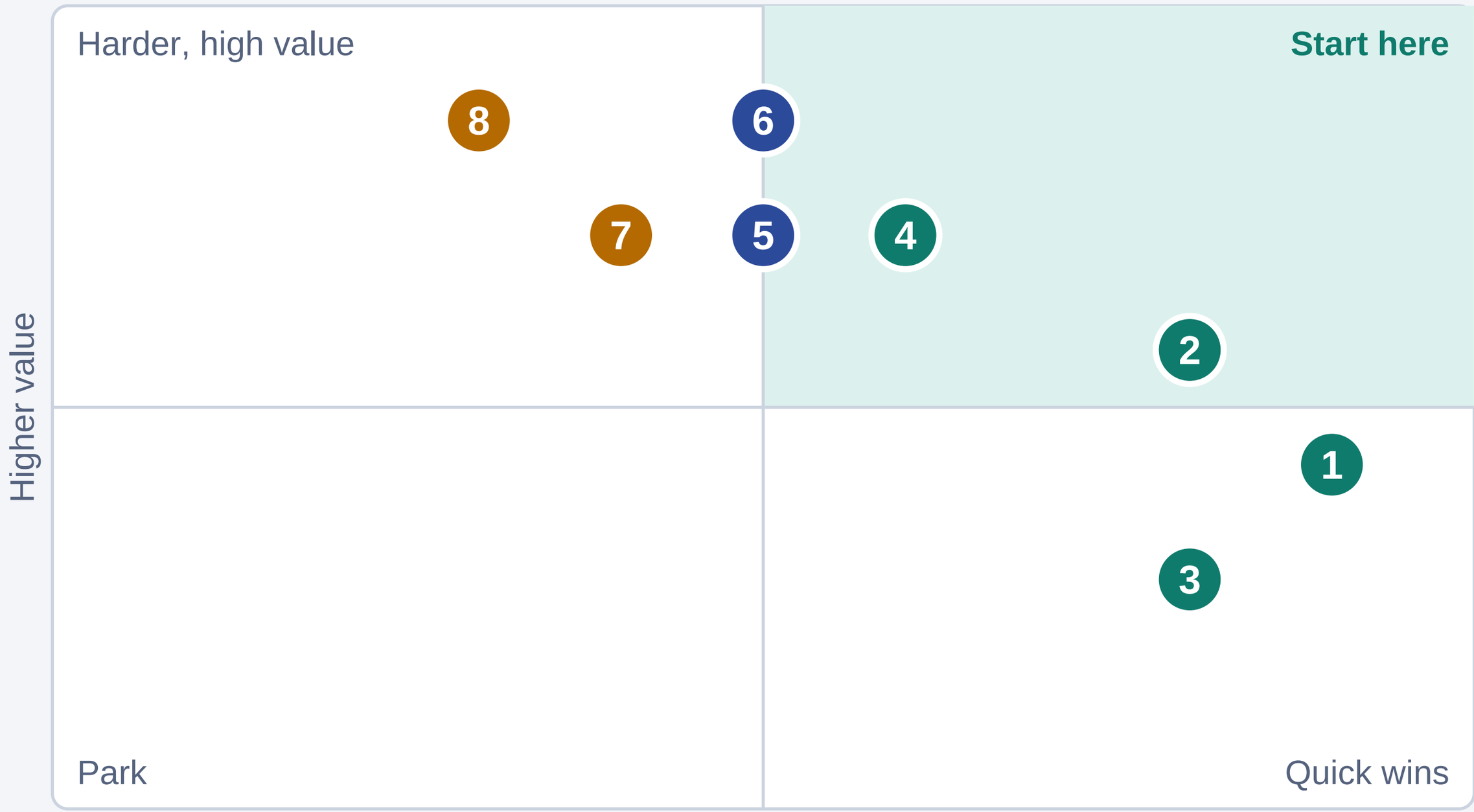
In retail: A personal shopper that builds outfits and checks stock.

**Needs strong guardrails.**

**AI is not a product we switch on. Its value depends on our data, processes and people.**

# What we can realistically do

Start where value meets feasibility. Personal shopper comes later.




1. Product content
2. Service agent-assist
3. Store associate assistant
4. Outfit recommendations
5. Loyalty offer personalization
6. Demand forecasting
7. Markdown and pricing
8. AI personal shopper

- Now: 0-90 days
- Next: 3-9 months
- Later: 9-18 months

Value and feasibility scores are planning judgements, to be validated in the first 30 days.

# The next 90 days: three phases, three gates

## Days 1-30: align and baseline

- Name an owner and a steering group
- Issue interim AI policy; use approved tools
- Inventory data, tools and vendor claims
- Choose four pilots and set baselines

**Gate 1: policy live, pilots chosen, measures agreed**

## Days 31-60: build and test

- Two internal pilots: product content, agent-assist
- One consented recommendation pilot on loyalty data
- Test vendors on our data against building
- Train users; log errors and feedback

**Gate 2: pilots live, no open privacy or brand issues**

## Days 61-90: prove and decide

- Controlled tests against baseline
- Cost the scale-up and the personal shopper option
- Draft the 12-month roadmap
- Report results to the board

**Gate 3: board decides to scale, adjust or stop**

# Risks we manage up front

Guardrails first, speed second.

| | |
|---|---|
| **Customer data and consent** | Privacy review before any pilot. Consented data only. |
| **Staff using public AI tools** | Interim policy, an approved alternative and short training. |
| **Wrong or off-brand content** | Human approval, test sets and tracked error rates. |
| **Vendor hype** | Proof of value on our data before any contract. |
| **Low adoption** | Involve users early, name champions, measure use. |
| **Chasing the competitor too early** | Gate the personal shopper behind proven data and pilots. |

# What we ask of the board

- A time-boxed 90-day program, with a pilot budget sized with Finance
- An executive owner and a cross-functional steering group
- Guardrails: consented data, human review, no sensitive data in public tools
- A day-90 review and scale decision based on evidence

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**Our edge is 12M loyalty members' history, used responsibly.**

How is your organization answering the AI question? Share below.

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